WAVERLEY GATEWAY GUIDE

Connecting International Capital with Emerging & Frontier Markets

KENYA

Africa

Information current as of October 2026

Dialogue | Trust | Partnership

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WHERE AND HOW TO ENTER

KEY INVESTMENT LOCATIONS

Location / Region	Strategic Importance	Priority Sectors
Nairobi	Capital and East Africa's leading commercial, financial and technology hub; base for regional headquarters and home of the Nairobi International Financial Centre	Financial services, fintech, ICT, professional services, real estate
Mombasa / Dongo Kundu SEZ	Principal gateway port for East and Central Africa, handling a record 45.45 million tonnes and 2.11 million TEUs in 2025, with an adjoining special economic zone	Port logistics, manufacturing, warehousing, trade services
Lamu Port / LAPSSET corridor	Deep-water port gaining traction, with cargo rising to about 799,000 tonnes in 2025 from 74,000 tonnes in 2024; anchor of the LAPSSET corridor and a designated SEZ	Transshipment, logistics, energy and industrial development
Naivasha / Olkaria (Rift Valley)	Centre of Kenya's geothermal industry, part of about 940 MW of geothermal capacity, with a special economic zone at Naivasha	Geothermal and renewable power, green manufacturing, agro-processing
Northern Corridor (Nairobi–Nakuru–Malaba)	Main trade artery to Uganda, Rwanda, South Sudan and the DRC; transit cargo through Mombasa grew 19.5% in 2025, and the Rironi–Mau Summit highway is being dualled	Road and rail infrastructure, logistics, PPPs
Kisumu / Lake Victoria	Western hub on Lake Victoria with a designated SEZ, positioned for trade with Uganda, Tanzania and the Great Lakes region	Agro-processing, lake transport, regional trade
Special Economic Zones and Export Processing Zones	SEZs in 14 counties, including Konza Technopolis and private zones such as Tatu City, plus a large EPZ network geared to export markets	Manufacturing, apparel, technology, logistics

INVESTOR ENTRY ROUTES

- Kenya Investment Authority (KenInvest), the national investment promotion agency, providing licensing support, aftercare and a One-Stop Investment Centre that is due to be fully digital by end-2026

- Investment Promotion Act (2004), with an Invest Kenya Bill in preparation to create a unified investment framework, and the Foreign Investment Protection Act guaranteeing repatriation of capital, dividends and interest
- Special Economic Zones offering a 10% corporate tax rate for the first 10 years and 15% for the next 10, plus VAT exemptions; Export Processing Zones offering a 10-year corporate tax holiday and duty-free inputs
- Nairobi International Financial Centre (NIFC), whose certified firms can access a reduced 5% capital gains tax rate on qualifying investments of at least KES 3 billion
- Liberalised capital account with no restrictions on converting or transferring investment funds; the Central Bank of Kenya manages a floating shilling, stable at around KES 130 to the dollar
- Public-Private Partnerships Act (2021) and the new National Infrastructure Fund, creating structured routes for private capital into roads, energy, water and ports
- Privatisation and capital-market entry via the Nairobi Securities Exchange, demonstrated by the oversubscribed Kenya Pipeline Company IPO in March 2026

MARKET-ENTRY OBSERVATION

Kenya in October 2026 offers one of Africa's most diversified and resilient growth stories. GDP expanded 5.1% in the second quarter of 2026, up from 4.9% a year earlier, led by electricity and water (+7.7%), accommodation and food services (+7.4%), information and communication (+7.2%) and financial services (+6.1%), and the Central Bank of Kenya has raised its 2026 growth projection to 5.0% after 4.6% in 2025. Foreign direct investment reached a record $3.2 billion in 2025, up about 38%, driven by digital infrastructure and renewable energy. Macroeconomic stability has strengthened markedly: the shilling has held at around KES 130 to the dollar for over two years, reserves stand at $14.7 billion (5.9 months of import cover), and inflation of 6.8% in September remains within the target range with the policy rate at 8.75%. Moody's upgraded Kenya to B3 in January 2026, while the Kenya Pipeline Company IPO and the sale of a 15% Safaricom stake to Vodacom show growing investor appetite for Kenyan assets.

Kenya's main structural challenge is its public-debt profile. Total public debt stood at KES 13.2 trillion in July 2026, around 63% of GDP, and debt service absorbs a large share of revenue, limiting fiscal room. The government is addressing this through fiscal consolidation, liability management that has smoothed Eurobond maturities, and a deliberate shift from borrowing to private capital: proceeds from the Safaricom sale (about KES 204 billion) are being channelled into the new National Infrastructure Fund, and the Treasury is turning to PPPs and securitisation to close an estimated $5 billion annual infrastructure gap. The Treasury projects the debt ratio easing to 60.6% by 2030. For investors this creates a substantial opportunity: Kenya is actively seeking private partners for highways, power, water and ports, with a pipeline of investment-ready projects and a stronger capital market through which to exit or co-invest.

INVESTOR RISK & MARKET ACCESS

KEY ENTRY BARRIERS

Issue	Potential Impact	Possible Mitigation
High public debt and debt-service costs	Public debt of KES 13.2 trillion (around 63% of GDP) constrains fiscal space and keeps domestic borrowing costs elevated	Fiscal consolidation, liability management and the shift to PPP and National Infrastructure Fund financing are opening new private-investment channels; structure projects with DFI or guarantee support
Global oil prices and the Middle East conflict	Higher crude prices (averaging about $104 a barrel in Q2 2026) raise import costs and have lifted non-core inflation	Fuel subsidies and a temporary fuel VAT cut are containing pass-through; Kenya's 80% renewable power mix limits exposure for electricity users and favours green-energy investment
FATF increased monitoring	Kenya has been on the FATF grey list since February 2024, adding compliance steps for cross-border transactions	Authorities are completing the remaining FATF action-plan items; apply robust KYC and AML procedures and work with established local banks
Governance and procurement transparency	Kenya ranks 121st of 180 on the Corruption Perceptions Index, and procurement	Use transparent PPP and NIFC structures, ICSID and New York Convention

Issue	Potential Impact	Possible Mitigation
	disclosure remains incomplete	protections, and Nairobi Centre for International Arbitration clauses
Policy and tax changes around the fiscal cycle	Annual Finance Acts can adjust tax measures, and the August 2027 general election may bring a period of policy focus on the campaign	Seek clarity on incentive terms through KenInvest, SEZ licences or NIFC certification, and phase major commitments around the electoral timetable
US trade-preference uncertainty	AGOA is authorised only to 31 December 2026, though the US Senate passed an extension to 2028 in August 2026	Diversify into EU and UK markets under existing Economic Partnership Agreements and into regional markets under the EAC, COMESA and AfCFTA
Foreign ownership limits in selected sectors	Foreigners cannot own freehold land and there are equity limits in insurance, mining dealership and some other sectors; the ICT local-equity rule was removed in 2023	Use 99-year leaseholds, SEZ land and joint ventures with Kenyan partners where caps apply

INVESTOR RISK NOTE

Kenya's risk profile is that of a large, diversified economy with improving external buffers and a clear reform direction. A stable shilling, reserves of 5.9 months of import cover, inflation within target and a Moody's upgrade in January 2026 reflect strengthened external liquidity, while record FDI and the oversubscribed Kenya Pipeline Company IPO show investor confidence. The central issue is the public-debt burden, which the government is managing through fiscal consolidation, active liability management and a deliberate shift towards privatisation proceeds, the National Infrastructure Fund and PPPs; this shift is itself the main opening for private capital. Investors should factor in the higher global oil-price environment, FATF compliance requirements while Kenya completes its action plan, and the policy calendar ahead of the August 2027 election. Using SEZ, NIFC and PPP frameworks, international arbitration protections and DFI co-financing provides practical mitigation and Kenya's open capital account supports a positive medium-term outlook.

MARKET ACCESS

Kenya is a member of the East African Community customs union and COMESA, and was among the first countries to ratify the African Continental Free Trade Area, giving access to EAC and COMESA markets of more than 330 million and 680 million consumers respectively. It is a WTO member and holds Economic Partnership Agreements with the United Kingdom (ratified 2021) and the European Union (signed December 2023), providing duty-free, quota-free access for its exports, and the government reports a newly finalised trade agreement with China. Africa took the largest share of Kenya's KES 1.12 trillion of exports in 2025, with Uganda the single largest market (14.5%), followed by Europe and Asia; the US market remains important for apparel under AGOA. Mombasa's port and the Northern Corridor make Kenya the main gateway for landlocked Uganda, Rwanda, South Sudan and eastern DRC, with Lamu and the LAPSSET corridor adding a second route northwards and to Ethiopia.

WHO SHOULD THE INVESTOR MEET?

INSTITUTIONAL LANDSCAPE

Actor	Why It Matters	Waverley Engagement Angle
Executive Office of the President (William Ruto)	Sets the economic transformation agenda, including the National Infrastructure Fund, privatisation programme and investment-law reform	Primary reference point for strategic direction and flagship-project priorities
Kenya Investment Authority (KenInvest)	National investment promotion agency running the One-Stop Investment Centre and the Investment Projects Catalogue	Standard first point of contact for market entry, licensing and incentive guidance
Central Bank of Kenya (Governor Kamau Thugge)	Monetary authority; manages the floating shilling, reserves and banking supervision	Relevant for currency, banking-sector and payments matters
National Treasury (Cabinet Secretary John Mbadi)	Leads fiscal policy, debt management, privatisation and the PPP and National	Key counterpart for PPPs, privatisations and large infrastructure financing

Actor	Why It Matters	Waverley Engagement Angle
	Infrastructure Fund frameworks	
Nairobi International Financial Centre Authority	Certifies firms for the NIFC, which had 16 certified firms after adding 15 in July 2026	Preferred platform for financial-services, fintech and holding-company structures
Special Economic Zones Authority and Export Processing Zones Authority	Licence and regulate SEZ and EPZ developers and operators, which are being aligned into a single framework	Essential for manufacturing, export and zone-based investments
Kenya Ports Authority	Operates Mombasa and Lamu ports, the gateway for regional transit trade	Key counterpart for logistics, port-related and transshipment investment

CURRENT INTERNATIONAL BUSINESS CHANNELS

The Kenya Private Sector Alliance (KEPSA) and the Kenya National Chamber of Commerce and Industry are the principal domestic business bodies, alongside the Kenya Association of Manufacturers for industrial investors. The American Chamber of Commerce in Kenya and the British business community are well established, and the UK–Kenya Strategic Partnership 2025–2030, backed by up to £1.5 billion, prioritises trade, climate and technology. The government's Kenya International Investment Conference (KIICO), held most recently in March 2026, showcases investment-ready projects. The World Bank, IFC, African Development Bank and British International Investment are active in energy, infrastructure and financial services, and the NIFC is increasingly a networking hub for regional financial-services investment.

INVESTOR PROFILE BEST SUITED

Kenya suits a broad range of investors seeking a regional platform for East and Central Africa: technology, fintech and financial-services investors drawn by Nairobi's ecosystem and the NIFC; renewable-energy investors, particularly in geothermal, wind and solar, given Kenya's 80% renewable power mix and plans to expand generation; infrastructure funds and contractors able to participate in PPPs and National Infrastructure Fund projects; logistics investors positioned around Mombasa, Lamu and the Northern Corridor; and manufacturers and agro-processors using SEZ and EPZ incentives to serve EAC, AfCFTA, EU and UK markets. Portfolio investors also benefit from a deepening Nairobi Securities Exchange and an expanding privatisation pipeline.

FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Engage KenInvest and review the Investment Projects Catalogue
Open dialogue with the national investment promotion agency to identify investment-ready projects and confirm current incentive terms under the evolving Invest Kenya framework.

STEP 2: Select the right structure: SEZ, EPZ or NIFC
Compare zone-based tax incentives with NIFC certification for financial-services and holding structures, and secure licences before committing capital.

STEP 3: Position for PPP and National Infrastructure Fund opportunities
Engage the National Treasury and sector agencies early on highways, energy, water and port projects, ideally alongside DFI co-financiers.

STEP 4: Build compliance and contractual protections into entry
Apply strong AML and KYC procedures while Kenya completes its FATF action plan, and include international arbitration clauses in key contracts.

STEP 5: Plan around the fiscal and electoral calendar
Track Finance Act changes and the August 2027 election timetable, and phase major commitments to secure incentive and tax clarity in advance.